

Answer Key — Exchange Concepts Knowledge Check, Variant 04

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall.

#	Correct	#	Correct
1	A, C, E	16	A, B, C, E
2	A, C, D, E	17	A, B, D, E
3	A, C, D	18	A, C, D, E
4	A, B, C, E	19	B, C, D
5	A, B, D, E	20	A, B, C, D
6	A, C, D	21	A, C, D
7	A, B, D, E	22	A, B, C, D
8	A, B, D	23	A, C, D
9	A, B, C, E	24	A, B, D, E
10	A, B, D, E	25	A, B, C, D
11	A, B, C, E	26	A, B, C, E
12	A, C, D	27	A, B, C, D
13	B, D	28	A, D, E
14	A, B, C, D	29	A, B, C, E
15	A, B, D, E	30	A, C, D, E

Notes on selected answers

- **Q2(B):** The document explicitly states the exchange does *not* help companies raise money directly — it serves the secondary market, not ongoing primary-market fundraising.
- **Q3(B, E):** HFT firms trade only their own capital, not client money (B false). Brokers act as intermediaries and do not trade for their own account — that description applies to prop/HFT firms, not brokers (E false).
- **Q8(C, E):** A midpoint peg seller receives *more* than the quoted bid, not less (C false). The document states HFT firms and market makers generally do *not* use midpoint pegs, since they need execution certainty rather than price improvement at the cost of timing uncertainty (E false).
- **Q13(A, C, E):** Within a price level, priority is time-based (FIFO) under standard price-time priority, not size-based, except specifically under pro-rata regimes (A false). CME uses FIFO, not pro-rata, for its equity index futures (C false). Nanosecond timestamps alone are described as insufficient without deterministic sequencing infrastructure (E false).

- **Q19(A):** The fixed 5-minute halt applies to single-stock LULD pauses, not to the tiered market-wide circuit breakers, which run 15 minutes (Level 1/2) or the rest of the day (Level 3).
- **Q23(B, E):** A fixed delay does *not* erase relative timing differences between participants — an order 1 microsecond earlier remains 1 microsecond earlier. IEX has captured only a small fraction (roughly 2–3%) of total US equity volume, not a majority.
- **Q28(B, C):** Crypto markets are characterised specifically by continuous, global, 24/7 trading — the opposite of fixed daily hours. No single unified regulator oversees all crypto venues; oversight is fragmented across jurisdictions.